## THE BANK ACCOUNT

The Bank Account is a Current Asset. Like all Assets it increases on the Debit side and decreases on the Credit side. 99% of all the accounts affect the Bank Account and this is why their contra accounts are Bank.

| DR [1] | | | | BANK [2](Current Asset) | | | | | B6 [3] | | [4]CR |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Month | Day | Details | Fol. | Amount | cents | Month | Day | Details | Fol. | Amount | cents |
| 08 Jan [5] | 1 [6] | Balance [6] | b/d [7] | xxx [8] | xx [9] | 08 Jan | 31 | Total Payments [14] | CPJ [15] | xxxx [16] | xx |
| | 31 [10] | Total Receipts [11] | CRJ [12] | xxxxx [13] | xx | | 31 | Balance [19] | c/d [20] | xxx [18] | xx |
| | | | | xxxxxx [17] | xx | | | | | xxxxxx [17] | xx |
| | | | | | | | | | | | |
| Feb | 1 | Balance | b/d | xxx | xx | | | | | | |
| | [22] | | | [21] | | | | | | | |
| | | | | | | | | | | | |

[**1**] The Debit side is on the left
[**2**] You must write the account name in the middle
[**3**] This is the folio number (Balance Sheet Account number 6)
[**4**] The Credit side is on the right
[**5**] This is the month column. You only have to write it down once. Note that the year is placed 2008.
[**6**] There is a favourable opening balance from the previous month and is posted on the first day of the month.
[**7**] The opening balance must be shown as a brought down balance (b/d).
[**8**] The amount for the opening balance will come from one of three sources: Trial balance, List of balances or information effecting the account.
[**9**] This is the cents column.
[**10**] A column total from the journal is posted on the last day of the month.
[**11**] This is the bank total from the Cash Receipts Journal. It is the total money received for the month. Total Receipts is the contra account.
[**12**] CRJ stands for Cash Receipts Journal, it is the journal where the information comes from.
[**13**] The bank total of the CRJ.
[**14**] This is the bank total from the Cash Payments Journal. It is the total money paid out for the month. Total Payments is the contra account.
[**15**] CPJ stands for Cash Payments Journal, it is the journal where the information comes from.
[**16**] The bank total of the CPJ.
[**17**] The first step to balancing is to total the biggest side. [**8**] + [**13**] = [**17**]
[**18**] The next step is to do a subtraction sum. The total payments total [**16**] is subtracted from the total [**17**].
[**19**] This is the balance in the account at the end of the month.
[**20**] This balance is shown as a carried down balance (c/d).
[**21**] The balance amount is brought down to the opposite side.
[**22**] It is shown as an opening balance on the first day of the next month.